1999—Apple's iMac comes with a 6 gigabyte hard drive.

2003—120 gigs on the Power Mac.

2006—250 gigs on the new iMac.

2011—first 4 terabyte hard drive.

2017—60 terabyte hard drives.

2019—100 terabyte hard drives.

Put that all together: From 1950 to 1990 we gained 296 megabytes. From 1990 through today we gained 100 million megabytes.

If you were a technology optimist in the 1950s you may have predicted that practical storage would become 1,000 times larger. Maybe 10,000 times larger, if you were swinging for the fences. Few would have said "30 million times larger within my lifetime." But that's what happened.

The counterintuitive nature of compounding leads even the smartest of us to overlook its power. In 2004 Bill Gates criticized the new Gmail, wondering why anyone would need a gigabyte of storage. Author Steven Levy wrote, "Despite his currency with cutting-edge technologies, his mentality was anchored in the old paradigm of storage being a commodity that must be conserved." You never get accustomed to how quickly things can grow.

The danger here is that when compounding isn't intuitive we often ignore its potential and focus on solving problems through other means. Not because we're overthinking, but because we rarely stop to consider compounding potential.

None of the 2,000 books picking apart Buffett's success are titled *This Guy Has Been Investing Consistently for Three-Quarters of a Century.* But we know that's the key to the majority of his success. It's just hard to wrap your head around that math because it's not intuitive.

There are books on economic cycles, trading strategies, and sector bets. But the most powerful and important book should be called *Shut Up And Wait*. It's just one page with a long-term chart of economic growth.

The practical takeaway is that the counterintuitiveness of compounding may be responsible for the majority of disappointing trades, bad strategies, and successful investing attempts.